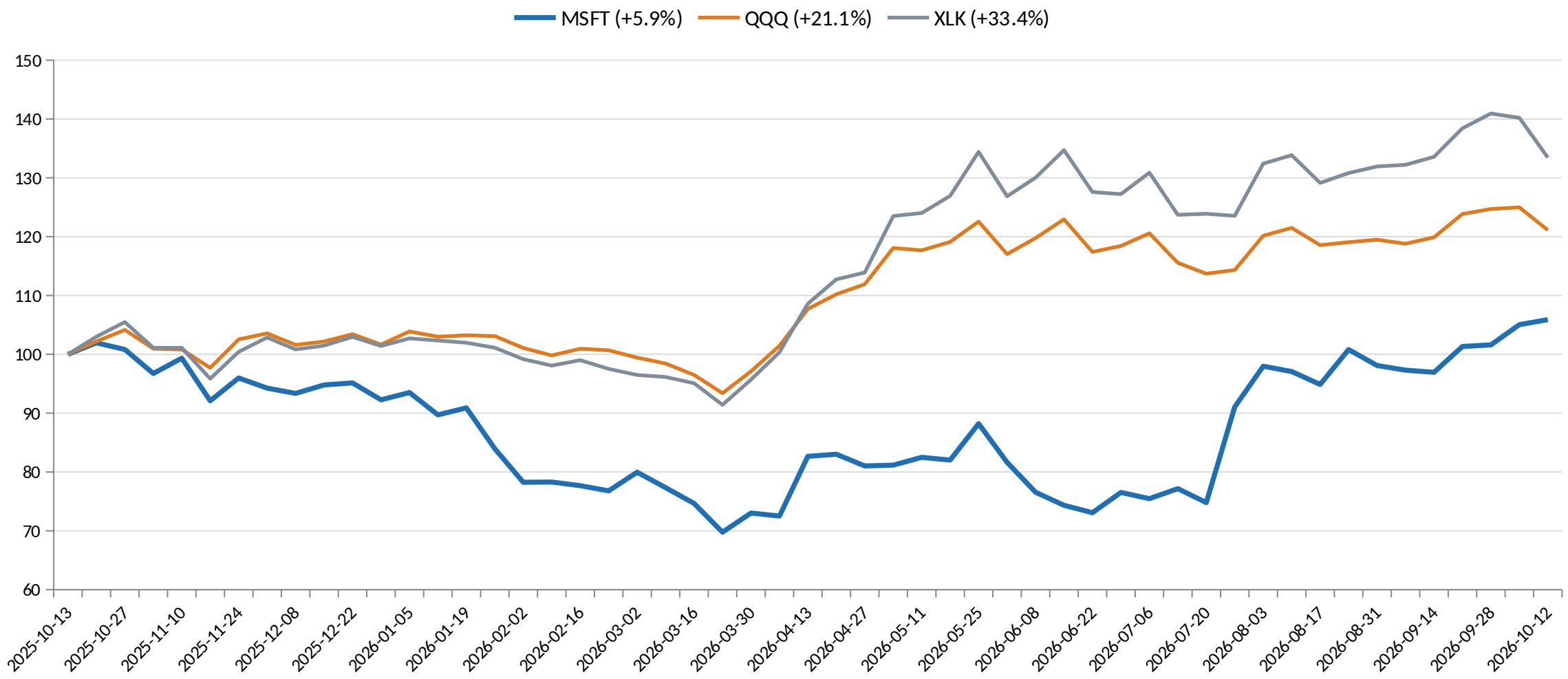
Microsoft: 1-Year Stock Performance and Fundamentals

MSFT vs. QQQ vs. XLK | Revenue & operating margin | Capex & free cash flow

Market data as of 2026-10-15 close | Financials through FY2026 Q4 (quarter ended 2026-06-30)

MSFT +5.9% over 1 year, lagging QQQ (+21.1%) and XLK (+33.4%)

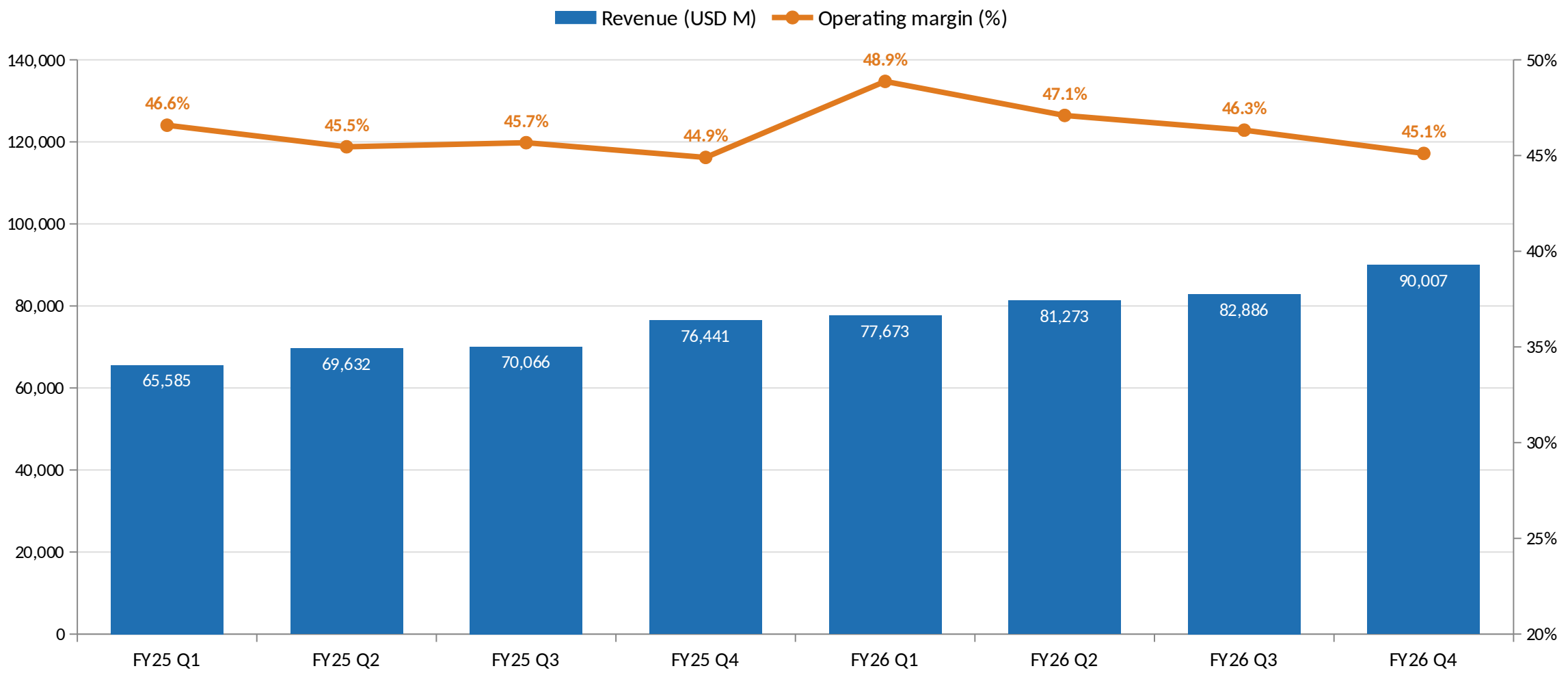
1-year total return, weekly, indexed to 100 at first weekly close (dividend-adjusted)



Source: Yahoo Finance via stock-data get_price_history (period 1y, interval 1wk, adj_close), fetched 2026-10-16. 53 weekly points per series, week of 2025-10-13 to week of 2026-10-12 (last point = 2026-10-15 close). Total return = last / first adjusted close - 1.

FY26 Q4 revenue $90,007M (+17.7% YoY); op. margin 45.1%, off 48.9% peak

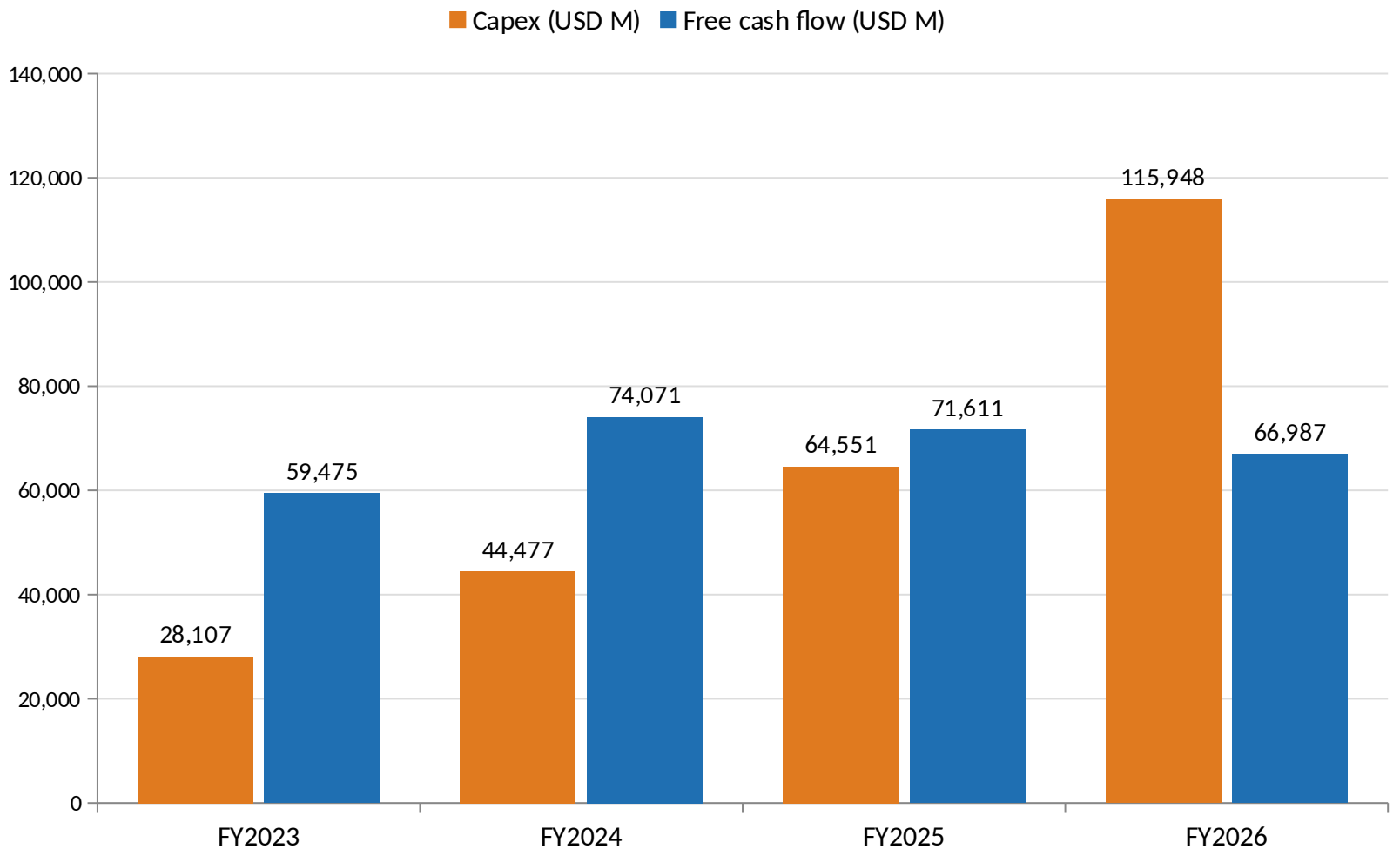
Quarterly revenue (USD millions, bars) and operating margin (%, line, right axis), last 8 fiscal quarters



Source: Microsoft 10-K/10-Q XBRL via stock-data get_financials (quarterly income). Fiscal year ends 30 June. Q4 values derived as FY less 9M (latest 10-K filed 2026-07-29). Operating margin = operating income / revenue.

Capex rose 4.1x since FY2023 to $115,948M; FCF fell to $66,987M in FY2026

Capital expenditures vs. free cash flow by fiscal year (USD millions); FCF = operating cash flow - capex (PP&E additions)



USD millions

FY	OCF	Capex	FCF	Capex/ OCF
FY2023	87,582	28,107	59,475	32.1%
FY2024	118,548	44,477	74,071	37.5%
FY2025	136,162	64,551	71,611	47.4%
FY2026	182,935	115,948	66,987	63.4%

Source: Microsoft 10-K XBRL via stock-data get_financials (annual cash flow); FY2026 10-K filed 2026-07-29. Capex = PaymentsToAcquirePropertyPlantAndEquipment; excludes finance-lease additions.

Takeaways: growth accelerated, but the stock lagged as capex squeezed FCF

1. Stock: MSFT total return +5.9% (2025-10-17 to 2026-10-15) vs. QQQ +21.1% and XLK +33.4%, underperforming by 15.2 and 27.5 pts. Trough on 2026-03-27 (-30.2% from start); +51.8% since, led by the post-FY26 Q4 earnings rally (late July 2026).

2. Revenue: $65,585M (FY25 Q1) to $90,007M (FY26 Q4); FY26 Q4 up 17.7% YoY. FY2026 revenue $331,839M vs. $281,724M in FY2025 (+17.8%).

3. Margins: full-year operating margin 45.6% (FY25) to 46.8% (FY26), but the quarterly trend faded from 48.9% (FY26 Q1) to 45.1% (FY26 Q4) as AI infrastructure costs ramped.

4. Capex: $28,107M (FY23) to $115,948M (FY26), +79.6% in FY26 alone; capex absorbed 63.4% of operating cash flow (FY23: 32.1%).

5. Free cash flow: $74,071M peak (FY24) to $66,987M (FY26) even as OCF grew to $182,935M; the AI build-out is funded internally at the cost of near-term FCF.

Sources: stock-data get_price_history / get_financials (Yahoo Finance; SEC XBRL). Market data as of 2026-10-15 close; financials through quarter ended 2026-06-30.